

Nepal Rastra Bank Act, 2002

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Nepal Rastra Bank Act, 2058 (2002)

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Amending Acts

1. Nepal Rastra Bank (First Amendment) Act, 2063 (2007) 2063.7.23
2. Republic Strengthening and Some Nepal Laws Amendment Act, 2066 (2010) 2066.10.7
3. Some Nepal Acts Amendment Act, 2072 (2016) 2072.11.13
4. Nepal Rastra Bank (Second Amendment) Act, 2073 (2016) 2073.7.29
5. Some Nepal Laws Amendment, Consolidation, Adjustment and Repeal Act, 2074 (2018) 2074.6.30
6. Payment and Settlement Act, 2075 (2019) 2075.12.4
7. Some Nepal Acts Relating to the Civil Code Amendment Act, 2075 (2019) 2076.1.2
8. Act to Amend Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080 (2024) 2080.12.30
9. Act to Amend Some Nepal Acts relating to Cooperatives, 2081 (2025) 2081.12.18

Act No. 15 of the year 2058 (2002)

An Act Made to Establish Nepal Rastra Bank to Function as a Central Bank

Preamble: Whereas, it is expedient to establish Nepal Rastra Bank as a central bank to maintain price and balance of payments stability and overall financial sector stability in such a way as to support the sustainable development of the economy of Nepal Removed by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. Amended by the Second Amendment.;

Therefore, this Act is enacted by Parliament in the first year of the reign of His Majesty King Gyanendra Bir Bikram Shah Dev. Chapter 1

Preliminary

1. Short Title and Commencement: (1) This Act may be called the "Nepal Rastra Bank Act, 2058 (2002)."
- (2) This Act shall come into force immediately. 2.

Definitions: Unless the subject or context otherwise requires, in this Act,- (a) "Bank" means the Nepal Rastra Bank established pursuant to Section 3. (b) "Board" means the Board of Directors of the Bank constituted pursuant to Section 14. (c) "Director" means a member of the Board, and the term also includes the Governor and the Deputy Governor. (d) "Governor" means the Governor of the Bank appointed pursuant to Section 15. (e) "Deputy Governor" means the Deputy Governor of the Bank appointed pursuant to Section 16. (f) "Commercial Bank" means a commercial bank established under the prevailing law. (g) "Financial Institution" means a financial institution established under the prevailing law for the purpose of providing credit for

agricultural, cooperative, industrial or any other specific economic purpose or collecting deposits from the general public; and the term also includes an institution designated as a financial institution by the Government of Nepal by publishing a notice in the Nepal Gazette. (h) "Currency" means all kinds of currency notes, postal orders, postal notes, money orders, cheques, drafts, travelers cheques, letters of credit, bills of exchange, promissory notes, credit cards; and the term also includes other monetary instruments of a similar nature designated by the Bank by publishing and disseminating a public notice as required. (i) "Currency Note" means a bank note that is in circulation as cash, and the term also includes coins. (j) "Foreign Currency" means any currency other than Nepali currency; and the term also includes Special Drawing Rights from the International Monetary Fund, Asian Currency Unit, European Currency Unit, and other instruments designated by the Bank by publishing and disseminating a public notice as required. (k) "Nepali Currency" means currency denominated in Nepali rupees. (l) "Convertible Foreign Currency" means foreign currency designated as convertible foreign currency by the Bank by publishing and disseminating a public notice as required. (m) "Foreign Exchange" means foreign currency, all kinds of deposits, loans, balances, foreign securities payable or receivable in foreign currency, and internationally prevalent cheques, drafts, travelers cheques, electronic fund transfers, credit cards, letters of credit, bills of exchange, promissory notes payable or realizable in foreign currency; and the term also includes any other monetary instrument designated by the Bank by publishing and disseminating a public notice as required. (n) "Foreign Exchange Transaction" means the act of buying or selling foreign exchange, taking or giving loans, or obtaining or giving foreign exchange in any other manner; and the term also includes the act of granting foreign exchange clearance by the Bank. (o) "Licensed Person" means a person, firm, company or institution obtaining a license from the Bank to conduct foreign exchange transactions. (p) "Letter of Credit" means a letter issued by one bank addressed to another bank authorizing it to accept cheques, drafts, hundis or bills of exchange drawn on it by a specified person up to a certain amount. (q) "Securities" means shares, stock, bonds, debentures, debenture stock issued by any organized institution, or certificates relating to unit savings programs or group savings programs issued by any organized institution under the prevailing law, or negotiable deposit certificates; and the term also includes any security designated by the Government of Nepal by publishing a notice in the Nepal Gazette, as well as receipts for deposit of securities and rights and interests relating to securities. (r) "Negotiation" means the transfer of a negotiable instrument to a person who is entitled to become its holder. (s) "Negotiable Instrument" means a promissory note, bill of exchange or cheque. (t) "Bill of Exchange" means an instrument in writing signed by one person directing another person to pay, unconditionally, a certain sum of money to a specified person or to the order of that person or to the bearer of the instrument, on a specified date, or after a certain period, or on demand. (u) "Promissory Note" means an instrument in writing signed by a person containing an unconditional undertaking to pay a certain sum of money to a specified person or to the order of that person or to the bearer of the instrument, on a specified date or on demand. (v) "Cheque" means a bill of exchange drawn on a bank payable on demand. (w) "Loan" means a direct or indirect commitment to invest funds and the right to recover the invested amount in return, as well as the payment of interest or other charges on such loans, refinancing provided against the collateral of loans or investments, restructuring and renewal of loans, guarantees issued for the repayment of loans, and other commitments made for such repayment; and the term also includes any kind of debt. (x) "Account" means a record, account or book maintained under the prevailing law in a manner that reflects the details of transactions; and the term also includes other documents evidencing such transactions. (y) "Debt Security" means any instrument evidencing indebtedness, and the term also includes any other indebtedness instrument in book entry or certified form. (z) "Monetary Liability" means bank notes and coins in circulation as shown in the balance sheet of the Bank. (aa) "International Accounting Standard" means an internationally recognized accounting standard. (ab) "Employee" means a person holding any position in the Bank.

Added by the Second Amendment.(ac) "Court" means the Commercial Bench of the High Court designated by the Government of Nepal, after consultation with the Supreme Court, by publishing a notice in the Nepal Gazette. Added by the Second Amendment.(ad) "Special Administration Group" means the Special Administration Group constituted pursuant to Section 88Ka.

(ae) "Prescribed or as Prescribed" means prescribed or as prescribed in the rules or regulations made under this Act. Chapter 2

Establishment, Objectives and Functions, Duties and Powers

3. Establishment of the Bank: (1) A central bank named "Nepal Rastra Bank" is hereby established to perform the functions of a central bank.

(2) The Nepal Rastra Bank established under the Nepal Rastra Bank Act, 2012 (1956) shall be deemed to have been established under this Act.

(3) The Bank shall be a self-governing and corporate body with perpetual succession.

(4) The Bank shall have its own separate seal for its business.

(5) The Bank may, subject to this Act, acquire, use, hold, sell or otherwise deal with movable and immovable property.

(6) The Bank may sue and be sued in its own name.

(7) The head office of the Bank shall be in Kathmandu, and the Bank may, as required, open branches, sub-branches and other offices, and appoint agents or representatives in any place within or outside Nepal Removed by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.. 4. Objectives of the Bank: (1) The objectives of the Bank shall be as follows:

(a) Amended by the Second Amendment. To formulate and manage necessary monetary and foreign exchange policies to maintain price and balance of payments stability for financial stability and sustainable development of the economy;

(b) Amended by the Second Amendment. To enhance access to financial services and maintain stability of the banking and financial sector, thereby enhancing public confidence in the banking and financial system;

(c) To develop a safe, sound and efficient payment system;

(d) Removed by the Second Amendment.

(e) Removed by the Second Amendment.

(2) The Bank shall assist the Government of Nepal in implementing its economic policies without adversely affecting the objectives set forth in sub-section (1). 5.

Functions, Duties and Powers of the Bank: (1) For the purpose of achieving the objectives set forth in Section 4, the functions, duties and powers of the Bank shall be as follows: (a) To issue bank notes and coins; (b) To formulate necessary monetary policy to maintain price stability and to implement or cause to implement such policy; (c) To formulate foreign exchange policy and to implement or cause to implement such policy; (d) To determine the exchange rate system; (e) To manage and operate foreign exchange reserves; (f) To issue licenses to commercial banks and financial institutions to conduct banking and financial transactions, and to carry out necessary regulation, inspection, supervision and monitoring in relation to such transactions; Added

by the Act to Amend Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.(f1) To issue directives and standards relating to regulation, inspection and supervision of cooperative institutions conducting savings and loan transactions; Added by the Act to Amend Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.(f2) To regulate, inspect and supervise cooperative institutions having a share capital exceeding fifty crore rupees or an annual turnover equivalent to that amount, based on financial governance and risk, at the request of the Department of Cooperatives, also exercising powers under the prevailing cooperative law; (g) To act as the banker, advisor and financial agent of the Government of Nepal; (h) To act as the bank and lender of last resort for commercial banks and financial institutions; (i) To establish, promote and regulate payment, clearing and settlement systems; and Added by the Second Amendment.(i1) To conduct open market operations through necessary instruments for liquidity management; (j) To implement or cause to implement other necessary functions required to be performed by the Bank to achieve its objectives under this Act. (2) The Bank shall have the power to perform such other functions and acts as may be necessary in exercising the powers conferred by this Act or other prevailing laws. (3) No person shall encroach upon the powers acquired by the Bank under this Act. 6.

Priority Right of the Bank: (1) The Bank shall have a priority right to secure its claim over cash deposited in the account of the debtor with the Bank or any commercial bank or financial institution, or over any other kind of movable or immovable property in the name of such debtor, for the purpose of recovering loans provided by the Bank to the debtor or any other claim of the Bank. (2) The Bank shall take possession of the cash or movable or immovable property over which it has a priority right under sub-section (1), sell it as prescribed, and recover its loan from the proceeds thereof. 7. Prohibited Activities of the Bank: (1) Except as provided in this Act, the Bank shall not engage in the following activities: (a) Granting any loan, accepting any kind of deposit, or giving any kind of financial gift; (b) Purchasing shares of any commercial bank, financial institution, public corporation or company, or acquiring any ownership rights in any financial, commercial, agricultural, industrial or other institution in any manner; (c) Engaging in any kind of trading; or (d) Acquiring rights over movable or immovable property by purchase, lease or any other means. Provided, however, that the Bank may acquire property necessary for conducting its business and management or fulfilling its objectives. (2) Notwithstanding anything contained in sub-section (1), the Bank may engage in the following activities: (a) Providing loans not exceeding ten percent of the total capital of an institution that engages in functions assisting the Bank in carrying out its own functions or fulfilling its liabilities, or acquiring ownership in shares of such institutions. Explanation: For the purpose of this clause, "institution that engages in functions assisting the Bank in carrying out its own functions or fulfilling its liabilities" means any institution or company designated by the Bank, including those purely involved in valuation, operation and protection of collateral of commercial banks or financial institutions, restructuring and transfer of collateral, credit rating, exchange of credit information, data processing and transmission, printing of financial instruments, payment clearing, asset securitization, production of bank notes or coins, acting as a trustee, or any other similar functions. (b) The Bank may provide loans to its employees. 8.

Exemptions and Facilities to the Bank: Notwithstanding anything contained in the prevailing law, the Bank shall have the following exemptions and facilities: (a) Exemption from all kinds of taxes, fees, levies, etc. on the income, capital transactions, houses, land, property and assets of the Bank. (b) No registration fee shall be charged for registering instruments of loans or refinancing provided by the Bank. (c) No revenue stamp shall be required to be affixed on any instrument relating to the Bank. (d) No tax, fee, duty or levy of any kind shall be imposed on the import and export of notes, coins, gold, silver, and paper, metals, chemicals and other materials used for minting. 9. Relationship between the Government of Nepal and the Bank: Any

relationship between the Government of Nepal and the Bank under this Act shall be maintained through the Ministry of Finance. 10. Coordination with Public Bodies: (1) For the attainment of its objectives, the Bank shall make necessary coordination with public bodies or their agencies or entities. (2) Upon request of the Government of Nepal, the Bank shall provide necessary information on balance of payments and banking and financial matters. (3) Upon request of the Bank, the Government of Nepal, public bodies and the private sector shall provide necessary information to the Bank on economic and financial matters. 11. International Cooperation and Relations: (1) The Bank shall represent Nepal Removed by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. in international associations and organizations concerning monetary policy, foreign exchange policy, balance of payments, bank supervision and other related subjects falling within its jurisdiction. (2) The Bank may provide banking and payment services to foreign governments, foreign central banks, foreign banks and international associations and organizations, and may also avail itself of similar facilities from them. (3) The Bank shall participate in international associations and organizations working to achieve financial and economic stability through international monetary cooperation. (4) In participating in international associations and organizations as the representative of Nepal Removed by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066., the Bank shall assume the responsibilities and duties that Nepal must bear and perform. 12. Dissemination of Public Information: The Bank shall regularly publish and disseminate publicly information about its statistical analysis on subjects such as macroeconomic conditions, development of financial markets, money supply, price stability, credit expansion, balance of payments and foreign exchange. 13. Operation of Accounts: The Bank may open and operate accounts for the Government of Nepal, other government bodies, commercial banks and financial institutions, public corporations, foreign missions, foreign central banks, foreign banks, and international associations and organizations.

The procedure for opening and operating such accounts shall be as prescribed by the Bank. Provided, however, that the Bank shall not operate accounts for any individual, industry or political party. Chapter 3 Constitution and Functions, Duties and Powers of the Board 14. Constitution of the Board of Directors: There shall be a Board of Directors of the Bank consisting of the following members: (a) Governor - Chairperson (b) Secretary, Ministry of Finance - Member (c) Two Deputy Governors - Member (d) Three Directors appointed by the Government of Nepal from among distinguished persons in the fields of economics, monetary, banking, finance, and commercial law - Member 15. Appointment of Governor: (1) The Government of Nepal, the Council of Ministers, shall appoint the Governor on the recommendation of the Recommendation Committee constituted pursuant to sub-section (2). (2) The Government of Nepal, the Council of Ministers, shall constitute a Recommendation Committee as follows for the appointment of the Governor: (a) Minister of Finance - Chairperson (b) One person from among former Governors - Member (c) One person designated by the Government of Nepal from among distinguished persons in the fields of economics, monetary, banking, finance and commercial law - Member (3) While recommending for the appointment of the Governor, the Committee constituted pursuant to sub-section (2) shall recommend a list of three names to the Government of Nepal, the Council of Ministers, from among distinguished persons in the fields of economics, monetary, banking, finance, commerce, management and commercial law, as well as from among Deputy Governors. (4) The Government of Nepal, the Council of Ministers, shall appoint one person from among the names recommended pursuant to sub-section (3) to the post of Governor. 16. Appointment of Deputy Governor: (1) The Government of Nepal, the Council of Ministers, shall appoint the Deputy Governor on the recommendation of the Governor. (2) While recommending for appointment to the post of Deputy Governor under sub-section (1), the Governor shall recommend twice the number of vacant posts from among the officers of special class of the Bank on the basis of work performance. (3) A person

appointed to the post of Deputy Governor under this section shall be deemed to have automatically retired from the service of the Bank. 17.

Appointment of Directors: (1) The Government of Nepal, the Council of Ministers, shall appoint Directors. (2) While appointing Directors under sub-section (1), the Government of Nepal, the Council of Ministers, shall do so ensuring representation from different fields among distinguished persons in the fields of economics, monetary, banking, finance, commerce, management and commercial law. 18. Term of Office of Directors: (1) The term of office of the Governor, Deputy Governor and Directors shall be five years. (2) The Government of Nepal may, if deemed appropriate, re-appoint a Governor whose term has expired for one further term, and re-appoint a Director for any number of further terms. 19. Remuneration and Other Facilities of Directors: The remuneration and other facilities of the Governor, Deputy Governor and Directors shall be as determined by the Board. 20. Qualification of Directors: A person shall possess the following qualifications for appointment to the post of Governor, Deputy Governor or Director: (a) Being a citizen of Nepal, (b) Having high moral character, (c) Having obtained at least a master's degree in economics, monetary, banking, finance, commerce, management, public administration, statistics, mathematics Amended by the First Amendment. or law, and having acquired work experience in the fields of economics, monetary, banking, finance Amended by the First Amendment. or commercial law. Explanation: For the purpose of this clause, "work experience" means work experience gained while working in a special class post in the Government of Nepal or the Bank, or as a professor at a university, or as the executive head of a class "A" commercial bank or financial institution, or in an executive level post in an international association or organization, or in a post equivalent to or higher in rank than the aforementioned posts. (d) Not being disqualified under Section 21. 21. Disqualification of Directors: The following persons shall not be qualified for appointment to the post of Governor, Deputy Governor or Director: (a) A member or office bearer of a political party, or (b) A person who has been blacklisted in any transaction of a commercial bank or financial institution, or (c) A sitting office bearer of a commercial bank or financial institution, or (d) A person holding five percent or more shares or voting rights in a commercial bank or financial institution, or (e) A person who has been declared insolvent due to inability to repay debts, or (f) A person of unsound mind, or (g) A person who has been convicted by a court of a criminal offense involving moral turpitude. 22.

Circumstances for Removal of Directors: (1) The Government of Nepal, the Council of Ministers, shall remove the Governor, Deputy Governor or Director who falls under the circumstances for removal as per sub-section (5). Provided, however, that before such removal, the Government of Nepal shall not deprive the concerned person of a reasonable opportunity to submit their defense. (2) The Government of Nepal shall remove the Governor under sub-section (1) on the recommendation of the Investigation Committee constituted pursuant to Section 23. (3) The Government of Nepal shall remove a Director or Deputy Governor under sub-section (1) on the basis of the recommendation submitted by the Board after conducting an inquiry. (4) Upon the initiation of the removal process of the Governor, Deputy Governor or Director under sub-section (1), they shall be deemed to be automatically suspended from their post. (5) The Governor, Deputy Governor or Director shall be removed in any of the following circumstances: (a) If they become disqualified to be a Director under Section 21, or (b) If there is a lack of competence to implement or cause to implement the functions required to be performed by the Bank for achieving its objectives under this Act, or (c) If they are found to have engaged in acts detrimental to the banking and financial system of the country, or (d) If they are found to have acted dishonestly or in bad faith in the operations of the Bank, or (e) If, due to misconduct, they have been disqualified from practicing any profession or business, have had their certificate revoked, or have been prohibited from carrying on business, or (f) If they have been absent from more than three consecutive meetings of the Board without a reasonable cause. (6) The Governor, Deputy Governor or

Director shall not be removed for any reason other than those mentioned in sub-section (5). 23.

Constitution and Functions, Duties of Investigation Committee: (1) Before removing the Governor under sub-section (2) of Section 22, the Government of Nepal shall constitute an Investigation Committee as follows and remove the Governor on its recommendation: (a) A person designated by the Government of Nepal from among former justices of the Supreme Court - Chairperson (b) Two persons designated by the Government of Nepal from among distinguished persons in the fields of economics, monetary, banking, finance, commerce and management - Members (2) The Investigation Committee may take statements or conduct inquiries with the concerned person before submitting its recommendation along with its opinion to the Government of Nepal. (3) The Investigation Committee may determine its own procedure to be followed in the course of the investigation. (4) The Investigation Committee shall submit its recommendation along with its opinion to the Government of Nepal within one month. 24. Resignation of Directors: The Governor, Deputy Governor or Director may resign from their post by submitting a written resignation to the Government of Nepal. 25. Public Notice of Appointment of Governor: The Government of Nepal shall, generally at least one month before the post of the sitting Governor falls vacant, appoint the Governor under this Act and publish and disseminate a notice thereof publicly. 26. Filling of Vacancies: If the post of any Governor, Deputy Governor or Director falls vacant before the completion of the term, the Government of Nepal shall, after completing the procedure under this Act, appoint a suitable person for the remaining period. 27. Acting Arrangement: If the Governor is unable to perform the functions of the Bank due to death, resignation, illness, leave or any other reason, the Government of Nepal shall designate the senior-most Deputy Governor of the Bank as the Acting Governor to perform the functions of the Governor. 28. Board Meetings: (1) The Governor shall preside over meetings of the Board. (2) Meetings of the Board may be held as required by the Bank. Provided, however, that a meeting of the Board shall be held at least once a month. (3) The Governor shall call meetings of the Board. Provided, however, that if three Directors of the Board submit a written request to call a meeting of the Board, the Governor shall call such meeting. (4) The Board may make separate regulations relating to calling, conducting, voting, recording minutes and other procedures of its meetings. (5) The presence of the person chairing the meeting and at least three Directors shall constitute a quorum for a meeting of the Board.

Provided, however, that one of the three Directors must be a Director appointed under clause (d) of Section 14.

(6) A decision of the majority shall be the decision of the Board. In the event of a tie of votes for and against a proposal, the person presiding shall have a casting vote. 29. Functions, Duties and Powers of the Board: The functions, duties and powers of the Board shall be as follows:

- (a) To formulate monetary and foreign exchange policies.
- (b) To make necessary decisions regarding the denomination, design, size, metal, paper or other material for printing bank notes and coins, and to formulate necessary policies regarding their issuance.
- (c) To make arrangements for the inspection and supervision of commercial banks and financial institutions, and to formulate necessary policies regarding the banking and financial system.
- (d) To approve rules and regulations of the Bank and to formulate policies applicable to the operation and management of the Bank.
- (e) To determine policies regarding the appointment, promotion, transfer, dismissal, remuneration, pension, gratuity, provident fund, leave, conduct and other terms of service of the employees of the Bank.
- (f) To approve the annual program and budget and the annual audited accounts for the Bank, and to submit the report thereof to the Government of Nepal for information.

- (g) To approve the annual report on the operations of the Bank.
- (h) To formulate policies regarding the issuance and revocation of licenses to commercial banks and financial institutions.
- (i) To approve the limit of loans to be provided by the Bank to the Government of Nepal.
- (j) To determine the amount, limit and conditions of loans and refinancing to be provided by the Bank to commercial banks and financial institutions.
- (k) To decide on the membership of the Bank in international associations and organizations.
- (l) To formulate policies for the mobilization and investment of the Bank's financial resources.
- (m) If the need to amend this Act is felt, to submit a proposal to the Government of Nepal stating the reasons therefor.
- (n) To decide on all matters other than those falling within the jurisdiction of the Governor under this Act.
- (o) To delegate the powers vested in the Board to the Governor or a sub-committee constituted by the Board, with or without prescribing a period. 30.

Functions, Duties and Powers of the Governor: (1) The functions, duties and powers of the Governor shall be as follows: (a) To implement the decisions made by the Board. (b) To operate and manage the Bank. (c) To organize the functions to be performed by the Bank. (d) To represent or cause to represent the Bank in international associations and organizations. (e) To implement or cause to implement monetary and foreign exchange related policies. (f) To determine necessary policies regarding interest rates on deposits and loans with commercial banks and financial institutions. (g) To determine necessary policies regarding the interest rates to be charged or paid by commercial banks and financial institutions on loans or deposits. (h) To formulate policies regarding liquidity to be maintained by commercial banks and financial institutions. (i) To make necessary arrangements regarding the basis, amount, manner, conditions, time period and use of the cash reserve ratio to be maintained by commercial banks and financial institutions. (j) To determine conditions regarding capital adequacy for commercial banks and financial institutions. (k) To decide on the procedure and conditions to be adopted for the purchase and sale of gold and other precious metals. (l) To determine service fees for services provided by the Bank. (m) To decide on the establishment and closure of branch offices and other offices of the Bank as required. (n) To establish and close agencies of the Bank. (o) To make necessary arrangements regarding the development and operation of the Bank's information system. (p) To make necessary arrangements regarding the supervision of commercial banks and financial institutions. (q) To decide on the revocation of licenses granted to commercial banks and financial institutions. (r) To decide on other matters subject to the powers delegated by the Board of Directors. (2) The Governor shall have inherent powers that a central bank governor should exercise in accordance with international norms. 31. Delegation of Powers: The Governor may delegate the authority obtained under this Act to a Deputy Governor or other employees of the Bank for the smooth operation of the Bank's work. 32. Restriction on Use of Vested Personal Interest: (1) After being appointed to the post of Governor, Deputy Governor or Director, every six months, the Governor, Deputy Governor and Director shall, if they have any direct or indirect commercial interest of themselves or their family members, inform the Board about that matter as prescribed. (2) If a proposal in which the Governor, Deputy Governor or Director has a personal interest is to be discussed in the Board, the concerned person shall inform the Board about that matter before the commencement of such discussion.

Such Director shall not participate in that discussion.

(3) Removed by the Second Amendment

(4) The Governor and Deputy Governor shall make public their immediate family's property details within one

month from the date of appointment to the post and from the date of removal from the post. 33. Management Committee: (1) To ensure smooth operation of the functions to be performed by the Bank, a Management Committee shall be constituted under the chairpersonship of the Governor and under the authority of the Board. The other members of the Management Committee shall be two Deputy Governors and a senior officer of the Bank designated by the Governor to act as Member Secretary.

(2) The functions, duties and powers of the Management Committee constituted under sub-section (1) shall be as prescribed.

(3) Notwithstanding anything contained in sub-section (1), the Governor may invite any other officer of the Bank to participate in the meeting

50. Discount Rate and Refinancing Interest Rate: The Bank shall determine the discount rate and the refinancing interest rate from time to time. The Bank shall publish and disseminate the information of the discount rate and refinancing interest rate so determined for the information of all concerned. Chapter 6
Monetary Unit, Bank Notes and Coins

51. Monetary Unit: (1) The monetary unit of Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. shall be the Rupee, and such Rupee shall be divided into one hundred Paisa.

(2) The Rupee as per sub-section (1) shall be legal tender within Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. and such Rupee shall be guaranteed by the Government of Nepal. 52. Right to Issue Bank Notes and Coins: (1) The Bank shall have the sole right to issue bank notes and coins within Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. . Such notes and coins shall be legal tender in Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. .

(2) When issuing notes pursuant to sub-section (1), the Bank shall issue them only upon maintaining security, and the liability of such issued notes shall be equal to the value of the property kept as security. At least fifty percent of the property kept as security shall be in one or more of gold, silver, foreign currency, foreign securities, and foreign exchange certificates, and the remaining percentage shall be in one or more of coins (of Mohar, Double and higher denominations), bonds issued by the Government of Nepal, and promissory notes or bills of exchange payable within Nepal within a maximum of eighteen months from the date of re-discount by the Bank.

Provided that, if approved by the Government of Nepal, at least forty percent of the property kept as security may be in one or more of gold, silver, foreign currency, foreign securities, and foreign exchange certificates, and the remaining percentage may also be in one or more of Nepali coins (of Mohar, Double and higher denominations), bonds issued by the Government of Nepal, and promissory notes or bills of exchange payable within Nepal within a maximum of eighteen months from the date of re-discount by the Bank.

(3) For the purpose of sub-section (2), the valuation of property shall be made as follows:-

(a) The value of gold at the rate determined by the Government of Nepal upon the recommendation of the Committee.

(b) The value of silver at the rate determined reasonable by the Committee.

(c) Foreign currency at the exchange rate determined by the Bank.

(d) Bonds issued by the Government of Nepal, foreign securities, and exchange certificates at the rate determined reasonable by the Committee considering the market rate.

(e) Coins at their face value.

(4) The Bank shall issue bank notes of various denominations as required. When issuing bank notes in this manner, visible images, size, and denominations on the notes shall be with the approval of the Government of Nepal, and non-visible images, internal security arrangements, material for printing bank notes, and other substances shall be as decided by the Committee.

(5) The Government of Nepal may, after obtaining the opinion of the Committee, publish a notice in the Nepal Gazette and demonetize bank notes of any denomination in any place or region other than a specified place or region.

(6) The Bank shall not re-issue torn, erased, or worn-out notes.

(7) The Bank may, with the approval of the Government of Nepal, have coins of any value, size, weight, fineness, design, and metal or alloy minted at the mint and put them into circulation for general use or on special occasions. The Bank may, if deemed necessary, have such coins minted at a foreign mint as well. Provided that, if coins already minted once with approval need to be minted again, the approval of the Government of Nepal shall not be required.

(8) The Bank may, with the approval of the Government of Nepal, mint coins sent by any foreign government for minting.

(9) The Bank shall be responsible for redeeming notes issued by the Government of Nepal before the establishment of the Bank and bank notes issued by the Bank.

(10) No liability other than the liability pursuant to sub-section (9) shall be satisfied from the property held as security for the issuance of bank notes. 53.

Bank Notes and Coins to be Universally Accepted: Bank notes and coins issued as legal tender by the Bank shall be universally accepted within Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. for the discharge of all types of public and private debts up to the amount indicated on such note or coin. 54. Size, Weight and Shape of Coins: The value, size, weight, shape, and other characteristics to be inscribed on coins issued by the Bank pursuant to this Act shall be as prescribed by the Committee. 55. Currency Issuance and Security: Arrangements relating to printing bank notes and minting coins, providing appropriate security for the safekeeping of unissued bank notes and coins, and securely storing or destroying old bank notes or coins, plates, and dies not in circulation shall be as prescribed. 56. Currency Exchange Arrangements: The Bank shall exchange bank notes or coins that are legal tender within Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. for bank notes or coins of the same value of the same or different denominations, without any fee or charge. 57. Worn or Defaced Currency: (1) The Bank may call in, destroy, or exchange worn currency for other bank notes or coins. (2) Notwithstanding anything contained in sub-section (1), the Bank may refuse to exchange bank notes or coins whose design is erased, torn, mutilated, or where more than fifty percent of the note or coin is missing. (3) The Bank may call in or destroy such bank notes or coins pursuant to sub-section (1), with or without paying compensation to the owner as prescribed. (4) The owner of a lost or stolen bank note or coin shall not be entitled to compensation from the Bank. The Bank may forfeit, without any compensation, coins whose external appearance has been altered or which are defaced, or counterfeit notes. Explanation: For the purpose of this section, "defaced coin" means a counterfeit coin minted, cast, or engraved in imitation of a coin issued by the Bank, or a coin issued by the Bank that has been cut into more than two pieces, broken, or whose inscribed numbers, letters, or symbols have been erased. 58. Arrangements Relating to Currency Stock and Issuance: The Bank shall make arrangements relating to the stock and issuance of currency and

shall regularly supply bank notes and coins to meet the demand for currency. 59. Accounting for Issued Currency: The Bank shall show separately in its accounts the total bank notes Deleted by the Second Amendment. in circulation as a monetary liability.

Bank notes Deleted by the Second Amendment. and coins held in stock or not yet put into circulation shall not fall under such liability. 60. Calling in or Withdrawing Issued Currency: (1) The Bank may call in or withdraw bank notes and coins in circulation within Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. upon providing reimbursement. The Bank shall publish and disseminate a public notice clearly specifying the period within which the bank notes and coins being called in or withdrawn must be presented for reimbursement at which office of the Bank. (2) Notwithstanding anything contained in section 53, bank notes and coins which require reimbursement after the expiry of the period specified pursuant to sub-section (1) shall not be legal tender. (3) The Bank may pulverize, cut, break, or destroy in any other manner the bank notes and coins called in from circulation pursuant to sub-section (1) and defective currency, as prescribed. 61. Reproduction and Counterfeit Currency: (1) No person shall do or cause to be done any of the following acts:- (a) To make counterfeited or forged legal tender bank notes and coins in circulation within Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. , or checks or payment cards, or to reproduce them by altering their form or in any other manner, or to do any act related thereto, or to abet any such act; or (b) To keep in possession, transport, or issue, or to abet any such act, any such bank notes, coins, checks, or payment cards, knowing them to be counterfeit, worn, forged, or made by altering their form; or (c) To keep in possession, produce, or transport, or to abet any such act, any metal sheet, stone, paper, die, or any other object or substance, knowing it to be used for making counterfeit, false, forged, or altered bank notes, coins, checks, or payment cards. (2) When reproducing bank notes, coins, checks, or payment cards denominated in Nepali Rupees, or creating any object, if the design of such object is in any way likely to resemble a bank note, coin, check, or payment card, prior approval of the Bank must be obtained before doing so. (3) The Bank may take necessary steps to prevent the issuance of forged notes or counterfeit coins or fake checks or payment cards. While taking such steps, the Bank may issue necessary orders, directives, or notices. Chapter 7 Foreign Exchange Policy, Regulations and Reserves 62.

Foreign Exchange Policy: The Bank shall have full authority to formulate and implement or cause to be implemented the foreign exchange policy of Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. . 63. Foreign Exchange Management: The Bank shall manage foreign exchange. For such management, the Bank shall have the following powers:- (a) To issue licenses to persons wishing to undertake foreign exchange transactions, subject to this Act or other prevailing laws. (b) To make rules and regulations and issue necessary orders, directives, or notices to regulate and systematize foreign exchange transactions conducted by licensed persons. (c) To inspect, supervise, and monitor licensed persons. (d) To determine the basis, limits, and conditions of transactions of licensed persons. (e) To prescribe the system for determining the exchange rate of the Nepali Rupee against foreign currencies. 64. Details of Foreign Exchange Transactions: (1) The Bank shall require licensed persons to submit to the Bank detailed particulars of foreign currency exchange and related operations. The period for submission of such particulars, the format, and related other documents shall be as prescribed by the Bank from time to time. (2) It shall be the duty of the concerned licensed person to submit the particulars and documents specified by the Bank pursuant to sub-section (1) to the Bank. 65. Foreign Exchange Transactions: (1) The Bank may buy or sell foreign exchange, gold, and precious metals. (2) The Bank may conduct purchases and sales pursuant to sub-section (1) through spot, forward exchange rate, swap, option, or other instruments of a similar nature, cash, or any means of exchange. (3) The Bank may buy or sell foreign exchange for the

purpose of sub-section (1) of section 66. Such purchase or sale may be based on spot, forward exchange rate, swap, option, or other similar instruments. (4) The Bank shall transact by fixing buying and selling rates for foreign currencies. The basis, limits, and conditions of transactions conducted in this manner shall be as prescribed by the Bank. 66. Foreign Exchange Reserves: (1) The Bank shall mobilize foreign exchange reserves.

Such reserves shall be denominated in the relevant foreign exchange and shall comprise the following assets:- (a) Gold and precious metals held by or deposited in the Bank's account. (b) Foreign currency held by or deposited in the Bank's account. (c) Foreign currency held in accounts with foreign central banks or other foreign banks in the name of the Bank. (d) Special Drawing Rights (SDRs) credited to the Bank's account with the International Monetary Fund. (e) Bills of exchange, promissory notes, savings bonds, bonds, and other debt securities issued by any debtor or obligor, payable in foreign exchange, held by the Bank. (f) Agreements made between the Bank and another party for immediate or repurchase from foreign banks or international financial institutions, or with their guarantee, and for future purchase, payable in foreign exchange. (2) While selecting assets pursuant to sub-section (1), the Bank must do so in a manner that maximizes income, keeping in mind the security of the Bank's capital and liquidity. (3) While implementing monetary and foreign exchange policy, the Bank must maintain adequate international reserves necessary for prompt payment in international transactions. (4) If the Bank suspects that a decrease or impending decrease in the level of international reserves could adversely affect the process of prompt payment in international transactions while implementing monetary and foreign exchange policy, the Bank shall submit a report to the Government of Nepal stating the current status of international reserves, the reasons for the decrease, and the measures to be adopted to prevent it. (5) Until the situation mentioned in sub-section (4) improves, the Bank shall prepare and submit reports with further suggestions as necessary to the Government of Nepal. (6) The Bank shall show the foreign exchange reserves pursuant to sub-section (1) in its balance sheet. 67. Issuance of Bonds in Gold and Foreign Currency: (1) The Bank may, with the approval of the Government of Nepal, issue one or more types of bonds denominated in gold and foreign currency for specific purposes. (2) The type, tenure, principal, interest payment, and other matters of bonds issued pursuant to sub-section (1) shall be as prescribed by the Bank. 68. International Clearing and Payment Agreements: The Bank may enter into clearing and payment agreements with public or private central clearing institutions situated abroad for its own account or for government accounts as directed by the Government of Nepal. The Bank may also enter into other agreements necessary for implementing the objectives of such agreements.

Chapter 8 Relationship with the Government of Nepal 69. Banker, Advisor and Financial Agent: (1) The Bank shall be the banker, economic advisor, and financial agent of the Government of Nepal for Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. . (2) The Government of Nepal shall consult with the Bank on matters related to the Bank's jurisdiction. It shall be the duty of the Bank to provide advice on matters requested by the Government of Nepal in this manner. (3) Each year, while preparing the annual budget, the Government of Nepal shall consult with the Bank regarding internal debt including overdraft. (4) The Bank shall submit a pre-budget review report on economic and financial matters to the Government of Nepal each year. 70. Consultation and Information Regarding External Debt: (1) The Government of Nepal may consult with the Bank when borrowing from abroad. (2) Consultation pursuant to sub-section (1) shall include matters such as the amount of the loan, its terms of receipt, conditions of borrowing, and repayment of the loan. (3) The Government of Nepal shall inform the Bank of any external borrowing undertaken. (4) The Government of Nepal shall consult with the Bank when approving external borrowing by private or public entities that creates a liability in foreign exchange. (5) The Government of

Nepal, public entities, or the private sector shall inform the Bank of agreements made that create a liability in foreign exchange.

71. Deposit Collection: (1) The Bank shall accept deposits of the Government of Nepal or other bodies specified by the Government of Nepal. (2) While accepting deposits pursuant to sub-section (1), the Bank shall perform functions such as taking custody of funds, making payments, operating accounts, and providing other banking services. (3) The Bank may authorize commercial banks and financial institutions, as necessary, subject to conditions prescribed by the Bank, to conduct transactions pursuant to sub-section (2).

72. Functions as Financial Agent: The Bank shall act as the financial agent of the Government of Nepal in the following matters, subject to the conditions or limits determined based on agreements with the Government of Nepal:- (a) Transactions such as purchasing and selling bonds issued by the Government of Nepal, making market arrangements, transferring them, and maintaining records thereof. (b) Payment of principal, interest, and other charges on bonds pursuant to clause (a). (c) Other necessary functions to be performed as agent.

73.

Bank may Request Details, Statistics and Documents: (1) The Bank may request details, statistics, and documents necessary for conducting its business from the concerned body. (2) It shall be the duty of the concerned body to provide the details, statistics, and documents requested by the Bank pursuant to sub-section (1).

74. Consultation with Bank Regarding Law Reform: (1) Before amending or enacting laws concerning matters within the Bank's objectives or jurisdiction, such as monetary policy and operations, credit, balance of payments, foreign exchange, and banking, or undertaking related actions, the concerned body may consult with the Bank. (2) It shall be the duty of the Bank to provide advice requested pursuant to sub-section (1). (3) The Bank shall have the right to submit proposals to the Government of Nepal for enacting new laws or amending existing laws on matters within its objectives, jurisdiction, or competence, such as monetary policy and operations, credit, balance of payments, foreign exchange, and banking.

75. Credit to the Government of Nepal and Purchase of Government Securities: (1) Except as otherwise provided in this Act, the Bank shall not provide any type of financial assistance to the Government of Nepal or to entities wholly, majority, or partially owned by the Government of Nepal. (2) Subject to this section, the Bank may provide credit to the Government of Nepal repayable within one hundred and eighty days. (3) Notwithstanding anything contained in sub-section (2), the Bank may provide special long-term credit to the Government of Nepal for fees payable or related payments upon Nepal's membership in any international institution. (4) The Bank shall disburse credit provided to the Government of Nepal or entities wholly, majority, or partially owned by the Government of Nepal only in Nepali Rupees. For credit provided in this manner, the Government of Nepal shall issue and provide to the Bank exchange bonds equivalent to the credit amount. The repayment period of such bonds must cover the credit period and bear the prevailing interest rate. There shall be a written agreement between the Bank and the Government of Nepal regarding all credit provided by the Bank to the Government of Nepal. Such written agreement must clearly mention the total amount or limit of credit, its terms, repayment period, interest rate, and other charges. Explanation: For the purpose of this section, "exchange bond" means a bond issued in the form of a promissory note. (5) The overdraft extended by the Bank to the Government of Nepal shall not at any time exceed five percent of the revenue income of the Government of Nepal of the preceding fiscal year.

When calculating such revenue income, loans, grants, or any other type of financial assistance, and income from the sale of assets shall not be included.

(6) The Government of Nepal must repay the overdraft pursuant to sub-section (5) within one hundred and eighty days in cash or through marketable bonds at the prevailing market interest rate.

(7) The total amount of bonds purchased by the Bank from the Government of Nepal and held in its ownership shall not exceed ten percent of the revenue income of the preceding fiscal year.

(8) Bonds issued by the Government of Nepal purchased by the Bank in the following circumstances shall not be considered as credit provided to the Government of Nepal pursuant to sub-section (7):-

(a) Purchased from the secondary market for open market operations in line with the Bank's monetary policy.
(b) Purchased during primary issuance with the intention of selling within sixty days, as deemed necessary by the Bank to maintain the market at an appropriate level.

(c) In respect of bonds purchased by the Bank from the Government of Nepal and held in its ownership before sub-section (7) became applicable. Chapter 9

Regulation, Inspection, and Supervision of Banks

76. Bank's Approval Required to Accept Deposits or Grant Loans: (1) Any person, firm, company, or institution must obtain approval from the Bank as prescribed to accept deposits of any kind or grant loans.

(2) While granting approval pursuant to sub-section (1), the Bank may prescribe necessary conditions as prescribed, and it shall be the duty of the concerned person, firm, company, or institution to comply with such conditions.

77. Restriction on Interest Rate: While determining interest rates to be paid on deposits or charged on loans, persons, firms, companies, or institutions authorized by prevailing law to accept deposits or grant loans must do so in accordance with the provisions relating to interest rates prescribed by the Bank from time to time.

78. License Required from Bank: (1) Commercial banks and financial institutions must obtain a license from the Bank as prescribed to conduct banking and financial transactions.

(2) While granting a license pursuant to sub-section (1), the Bank may prescribe necessary conditions as prescribed, and it shall be the duty of the concerned licensed bank or financial institution to comply with such conditions. 79.

Bank to Regulate: (1) The Bank shall have full authority to regulate the work and operations of commercial banks and financial institutions. (2) In relation to regulation pursuant to sub-section (1), the Bank may make rules and regulations and issue necessary orders, directives, and notices on matters it deems necessary, and it shall be the duty of the concerned commercial bank or financial institution to comply with such rules, regulations, orders, directives, and notices.

(3) The Bank shall issue necessary directives to commercial banks and require them to submit the following details:- (a) Details of on-balance sheet accounts and bookkeeping, off-balance sheet accounts or commitments, income and expenditure, and their proportional relationship with account headings. (b) Conditions, restrictions, or prohibitions imposed on specific types of credit or investments not falling within limits set by the Bank, or periodic reconciliation of such credit or investment and risk-bearing commitments, assets and liabilities, and off-balance sheet items, foreign currency position, spot and forward exchange rates, swaps, options, or other similar instruments, and other processes of electronic or other payment systems. (c) Other details and documents prescribed by the Bank.

(4) The Bank shall issue necessary directives to financial institutions and require them to submit the following details:- (a) Accounts, bookkeeping, profit and loss accounts, balance sheet and off-balance sheet transactions and commitments, income and expenditure details, and their proportional relationship with account headings. (b) Conditions, restrictions, or prohibitions imposed on specific types of credit or investments, or credit or investments exceeding limits set by the Bank, risky commitments, foreign currency position, payment and payment system electronic or other processes. (c) Other details and documents prescribed by the Bank.

(5) The Bank shall issue necessary directives to financial institutions and require them to submit the following details:- (a) Accounts, bookkeeping, profit and loss accounts, balance sheet and off-balance sheet transactions and commitments, income and expenditure details, and their proportional relationship with account headings. (b) Conditions, restrictions, or prohibitions imposed on specific types of credit or investments, or credit or investments exceeding limits set by the Bank, risky commitments, foreign currency position, payment and payment system electronic or other processes. (c) Other details and documents prescribed by the Bank.

(6) The Bank shall issue necessary directives to financial institutions and require them to submit the following details:- (a) Accounts, bookkeeping, profit and loss accounts, balance sheet and off-balance sheet transactions and commitments, income and expenditure details, and their proportional relationship with account headings. (b) Conditions, restrictions, or prohibitions imposed on specific types of credit or investments, or credit or investments exceeding limits set by the Bank, risky commitments, foreign currency position, payment and payment system electronic or other processes. (c) Other details and documents prescribed by the Bank.

(7) The Bank shall issue necessary directives to financial institutions and require them to submit the following details:- (a) Accounts, bookkeeping, profit and loss accounts, balance sheet and off-balance sheet transactions and commitments, income and expenditure details, and their proportional relationship with account headings. (b) Conditions, restrictions, or prohibitions imposed on specific types of credit or investments, or credit or investments exceeding limits set by the Bank, risky commitments, foreign currency position, payment and payment system electronic or other processes. (c) Other details and documents prescribed by the Bank.

(8) The Bank shall issue necessary directives to financial institutions and require them to submit the following details:- (a) Accounts, bookkeeping, profit and loss accounts, balance sheet and off-balance sheet transactions and commitments, income and expenditure details, and their proportional relationship with account headings. (b) Conditions, restrictions, or prohibitions imposed on specific types of credit or investments, or credit or investments exceeding limits set by the Bank, risky commitments, foreign currency position, payment and payment system electronic or other processes. (c) Other details and documents prescribed by the Bank.

Added by the Second Amendment. (4a) The Bank may issue necessary directives to commercial banks and financial institutions for the purpose of preventing money laundering and terrorist financing, regarding customer identification and customer risk classification and management, fund transfers, limits including deposits, or providing details of suspicious transactions to the Financial Information Unit established pursuant

to the prevailing anti-money laundering law.

(5) The Bank shall have the following powers with respect to commercial banks and financial institutions:-

(a) To exercise the powers and duties conferred by this Act and any other Act enacted to license, supervise, and regulate commercial banks and financial institutions, to cancel licenses of commercial banks and financial institutions, and to take over or place under trusteeship commercial banks or financial institutions that are about to become insolvent or have become insolvent.

(b) To inspect, examine, or supervise, or cause to be inspected, examined, or supervised, through any officer of the Bank or person designated by the Bank, the books of account, records, documents, or other registers of any commercial bank or financial institution to ascertain whether it is conducting transactions in accordance with this Act or the rules, regulations, or orders or directives issued under this Act.

(c) To order members of the board of directors, officials, or employees of any commercial bank or financial institution to submit necessary information about their bank or institution if inspection or supervision of its transactions is required. 80. Banking and Financial System and Credit Control: The Bank may issue directives from time to time to commercial banks and financial institutions regarding the banking and financial system, currency, and credit. It shall be the duty of commercial banks and financial institutions to comply with such directives. 81. Credit Flow Required to Specified Sectors: (1) Commercial banks and financial institutions must provide credit to sectors specified by the Bank from time to time, for the period specified by the Bank, and in the manner specified by the Bank.

(2) If any commercial bank or financial institution fails to provide credit or provides less credit than required pursuant to sub-section (1), the Bank may levy a penalty on the concerned commercial bank or financial institution amounting to the interest calculated at the maximum lending interest rate of that institution on the amount not provided or provided in deficit. 82. Information to be Submitted to Bank: (1) Commercial banks and financial institutions must submit details of their transactions and financial condition to the Bank as prescribed by the Bank.

(2) The Bank may publish the details obtained pursuant to sub-section (1). 83.

Approval Required to Issue Debentures and Financial Instruments: (1) Commercial banks and financial institutions must obtain prior approval of the Bank to issue any type of debenture or financial instrument. (2) While granting approval pursuant to sub-section (1), the Bank may specify necessary conditions, and it shall be the duty of the concerned commercial bank or financial institution to comply with such conditions. 84. Inspection and Supervision: (1) For the purpose of inspection and supervision of commercial banks and financial institutions licensed by the Bank, the Committee shall make and implement international-level inspection and supervision regulations. (2) The Bank may, at any time, inspect or supervise, or cause to be inspected or supervised, any office of commercial banks and financial institutions. Such inspection and supervision may be conducted by deputing any officer of the Bank or expert designated by the Bank to the concerned office, or by calling detailed particulars and information to the Bank itself. (3) It shall be the duty of the concerned commercial bank or financial institution, or its director, official, or employee, to provide or make available for inspection or examination to the officer, expert, or the Bank, within the time specified by such officer, expert, or the Bank, the ledgers, statistics, details, information, data required for computer audit, and other programs, details, and financial control systems created through electronic means, or any other necessary documents required by the officer, expert, or the Bank conducting inspection or supervision pursuant to sub-section (2). (4) The officer or the Bank conducting inspection and supervision pursuant to this section may require any director, official, or employee of a commercial bank or financial institution to give a written statement regarding operations deemed necessary during the inspection and supervision. (5) Regarding matters deemed necessary during inspection and supervision, the Bank or the

inspecting/supervising officer may issue necessary directives to the commercial bank or financial institution. It shall be the duty of the concerned commercial bank and financial institution to comply with the directives issued in this manner by the Bank or the inspecting/supervising officer. The inspecting/supervising officer must inform the Bank of the directives so given as soon as possible.

Amended by the Second Amendment. (6) The officer or expert conducting inspection and supervision pursuant to this section must submit a report of the inspection and supervision conducted to the Governor within the prescribed period. (7) The report submitted pursuant to sub-section (6) must be presented at the next meeting of the Committee. (8) The Committee may make necessary decisions on the report submitted pursuant to sub-section (7) and issue necessary directives to the Governor regarding the steps to be taken in relation thereto. The Governor shall be responsible for complying with or causing compliance with such directives. 85. Exchange of Mutual Cooperation: (1) For the purpose of supervising commercial banks and financial institutions falling under their respective supervisory jurisdictions, the Bank may exchange cooperation on a reciprocal basis with the concerned foreign supervisory authority. (2) Information or intelligence obtained for the purpose of supervision pursuant to sub-section (1) may be exchanged by the Bank with foreign supervisory authorities without breaching confidentiality. (3) The Bank may exchange mutual cooperation with other bodies regulating policies related to the financial system for the purpose of promoting the financial system. Repealed by the Second Amendment. 86. Added by the First Amendment. 86a. Commercial Bank or Financial Institution to Inform Bank: If any commercial bank or financial institution is in a position to become insolvent or be liquidated under prevailing law, or if such bank or financial institution is unable to pay any amount due or is materially unable to fulfill any or all of its obligations, such commercial bank or financial institution shall immediately inform the Bank thereof within fifteen days. Added by the First Amendment. 86b.

When a Commercial Bank or Financial Institution is Deemed Problematic: If the Bank receives information pursuant to section 86a, or if from an inspection and supervision report under section 84 or from any other manner the Bank is satisfied that any of the following conditions exist in any commercial bank or financial institution, the Bank shall, by giving written notice, declare such commercial bank or financial institution as a problematic commercial bank or financial institution:- (a) If it appears to have acted against the interests of depositors, shareholders, creditors, or the general public, (b) If it fails or is likely to fail to fulfill its financial obligations or is unable to pay amounts due, (c) If it is or is about to become insolvent or is experiencing significant financial difficulty, (d) If it appears to have disobeyed or violated this Act, prevailing law relating to commercial banks and financial institutions, other prevailing laws, conditions specified while granting the license, or the Bank's regulations, directives, or orders, (e) If it appears to have obtained the license by submitting false, fraudulent, or incorrect documents or facts, (f) If it fails to maintain the minimum capital fund as per this Act, prevailing law relating to commercial banks and financial institutions, and directives issued by the Bank from time to time, (g) If liquidation Added by the Second Amendment. or winding-up or insolvency-related legal proceedings have been initiated against any commercial bank or financial institution under prevailing law, (h) If voluntary liquidation proceedings have commenced and there is undue delay in completing such proceedings, (i) In the case of a commercial bank or financial institution established with the involvement of a foreign commercial bank or financial institution, if such foreign commercial bank or financial institution becomes insolvent or is liquidated, or a liquidator is appointed upon liquidation, or its license to conduct banking business is revoked under the law of the relevant country, or its operations are partially or fully restricted, or if it appears to be conducting banking business jointly with such commercial bank or financial institution, or (j) If the Bank is satisfied that conditions exist which adversely affect the payments or obligations or duties of the commercial bank or financial institution. Amended by the Second Amendment.

Bank may Take Action against Problematic Commercial Bank or Financial Institution: (1) If the Bank declares any commercial bank or financial institution as problematic pursuant to section 86b, notwithstanding anything contained in the Companies Act or other prevailing laws, Amended by the Second Amendment. the Bank may take control of the management of such commercial bank or financial institution or order the board of directors of the concerned commercial bank or financial institution to take any or all of the following actions:- (a) Increase paid-up capital by issuing new shares or by calling up unpaid amounts on issued capital, (b) Suspend the voting rights or other rights of shareholders as necessary, (c) Prohibit the distribution of dividends or other amounts to shareholders for a specified period to increase capital, (d) Determine limits on the distribution of bonuses, remuneration, compensation, and other amounts to directors and other senior officials, (e) Ensure proper arrangements for good governance, internal control, and risk management of the commercial bank or financial institution, (f) Impose restrictions or set limits on accepting deposits, granting loans, or investing, (g) Require maintaining higher capital adequacy and liquidity ratios, or restrict business operations, or impose other necessary conditions, (h) Limit the transactions of the commercial bank or financial institution, or order the sale of assets, or prohibit branch expansion, or order the closure of any branch office within the country or abroad, (i) Make necessary arrangements to reduce the risk of assets that appear qualitatively doubtful and collateral or other assets not recorded at fair value, (j) Prohibit actions that cause or are likely to cause loss or damage to the concerned commercial bank or financial institution through irregularities violating prevailing law and the Bank's regulations, (k) Prohibit the performance of specific types of activities among those permitted to the commercial bank or financial institution for a specific period, (l) Require prior approval of the Bank for making major capital expenditures, undertaking commitments that create significant liability, or incurring expenditure on contingent liabilities, (m) Order the removal of one or more directors, managers, or employees as necessary, (n) If, upon issuing an order pursuant to clause (m), the concerned commercial bank or financial institution does not remove the director, manager, or employee specified in the order, the Bank may itself remove such director, manager, or employee, notwithstanding anything contained in prevailing law, (o) Suspend the board of directors of the commercial bank or financial institution and take control of its management, conducting or causing to be conducted the management and operations of such commercial bank or financial institution by itself or through an officer appointed by it, Explanation: "Appointed officer" means one or more persons, firms, companies, or institutions appointed by the Bank to conduct the management and operations of a commercial bank or financial institution taken under its control pursuant to this clause. (p) Require a commercial bank or financial institution listed on the securities market to apply for delisting its name from the securities market, (q) Restrict the payment of principal and interest on unsecured subordinated loans of the commercial bank or financial institution, (r) Take any other action deemed necessary and appropriate by the Bank. (2) When issuing an order to remove directors, managers, or employees of a commercial bank or financial institution pursuant to clause (m) of sub-section (1) or suspending the board of directors of a commercial bank or financial institution by taking control of its management pursuant to clause (o), such directors, managers, employees, or board of directors shall not be denied a reasonable opportunity for a hearing.

Provided that, if it appears that giving such opportunity would adversely affect the interests of the commercial bank or financial institution or its depositors, shareholders, creditors, or the general public, this sub-section shall not be deemed to prevent ordering the immediate removal of such director, manager, or employee from his/her position or service, or suspending the board of directors and providing an opportunity for a hearing as soon as possible, notwithstanding anything contained in prevailing law.

- (3) If, upon hearing concerning the action mentioned in the proviso to sub-section (2), such action does not appear reasonable, the Bank may annul, modify, or make another reasonable decision regarding the order under clause (m) or (o) of sub-section (1).
- (4) When the Bank takes control of any commercial bank or financial institution pursuant to clause (o) of sub-section (1) and conducts or causes to be conducted its management and operations by any means mentioned in that clause, all expenses incurred shall be borne by the concerned commercial bank or financial institution.
- (5) The duration of an order issued by the Bank pursuant to clause (o) of sub-section (1) shall generally remain in effect for up to two years, unless extended by another such order by the Bank.
- (6) Where the Bank has taken control of any commercial bank or financial institution pursuant to clause (o) of sub-section (1), an initial report thereof, and subsequently annual reports prepared by the Bank or the officer appointed by the Bank, shall be sent to the Government of Nepal for its information.
- (7) An order issued pursuant to clauses (e), (m), (o), and (p) of sub-section (1) may be withdrawn or annulled by another order if the Bank deems it necessary.
- When issuing another order in this manner, the basis and reasons for issuing such order and other necessary matters shall be mentioned in the order.
- (8) Directors, managers, or employees removed by order of the Bank pursuant to clause (m) of sub-section (1) shall not be entitled to serve as director, manager, or employee of such commercial bank or financial institution, or hold any position in any commercial bank or financial institution, or be directly or indirectly associated in any manner whatsoever with any work or transaction thereof.
- (9) Any director, manager, or employee removed pursuant to clause (m) of sub-section (1), or members of the board of directors suspended pursuant to clause (o
- (?) Subject to the criteria prescribed by the Bank, to increase capital by selling shares to other persons so as to reduce the participation of the existing shareholders, or to restructure such commercial bank or financial institution by restructuring the board of directors,
- (?) To reduce the capital so as to reflect the real value of the assets of such commercial bank or financial institution pursuant to Section 86ja, and to adjust the face value of the shares proportionally to such capital,
- (?) To carry out necessary managerial restructuring for the interest of depositors, shareholders, creditors and the public, or to close the branches and operations of a commercial bank or financial institution that is unable to conduct business smoothly and carry out institutional restructuring,
- (?) To adopt or cause to adopt such other measures as prescribed by the Bank to make the problem commercial bank or financial institution viable.
- (2) When any decision has to be taken against a commercial bank or financial institution pursuant to clause (?) or (?) of sub-section (1), the concerned parties shall be given a reasonable opportunity of hearing before taking a decision on such matter. Provided that, if the Bank believes that giving an advance opportunity of hearing would adversely affect the interests of its depositors, shareholders, creditors or the public, such decision may be taken and an opportunity of hearing shall be given as soon as possible, and if the Bank is satisfied with the reasons and grounds revealed from the hearing so held, such decision may be modified or revoked as necessary. Added by the First Amendment. 86cha.

The Bank's right to take remedial actions: (1) The Bank shall, within one year of taking control of a problem commercial bank or financial institution pursuant to clause (?a) of sub-section (1) of Section 86ga., conduct or cause to conduct a management audit or audit of such commercial bank or financial institution and publish its report publicly. (2) Based on the management audit or audit report pursuant to sub-section (1), notwithstanding anything contained in the Companies Act or other prevailing laws, if the Bank is satisfied that a commercial bank or financial institution it has taken control of can be operated well, the Bank may take the following remedial actions as necessary:- (a) Revoke the suspension of the board of directors suspended pursuant to clause (?a) of sub-section (1) of Section 86ga. and order the same board of directors to resume management or business operations, (b) Dismiss the board of directors suspended pursuant to clause (?a) of sub-section (1) of Section 86ga. and form a new board of directors from among the shareholders of such commercial bank or financial institution and cause them to conduct management or business operations, (c) Dismiss the board of directors suspended pursuant to clause (?a) of sub-section (1) of Section 86ga., convene a general meeting of such commercial bank or financial institution, and cause the formation of a new board of directors to conduct its management or business operations, or (d) Adopt any other remedial measure deemed appropriate by the Bank.

Amended by the Second Amendment.

(3) Based on the management audit or audit report pursuant to sub-section (1) or the report of an officer appointed by the Bank, subject to the criteria prescribed by the Bank, the Bank may, by publishing a public notice, order any shareholder to sell, distribute and transfer the shares registered in his/her name to any person deemed appropriate by the Bank, upon receiving a price determined by a committee formed by including representatives of the Nepal Securities Board and the Institute of Chartered Accountants of Nepal as well as other external experts, as necessary.

(4) If the shares cannot be sold, distributed or transferred for any reason pursuant to clause (a) of sub-section (3), the Bank may confiscate such shares, and the shares so confiscated may be sold, distributed or transferred to any other person by the Bank in a manner deemed appropriate, also taking the opinion of the committee formed pursuant to clause (a) of sub-section (3).

(5) When a decision pursuant to sub-section (3) has to be taken against a commercial bank or financial institution, the Bank shall give the concerned parties a reasonable opportunity of hearing before making a decision on the proposed matter. Provided that, if the Bank believes that giving an advance opportunity of hearing would adversely affect the interests of such commercial bank or financial institution, its depositors, shareholders, creditors or the public, such decision may be taken and an opportunity of hearing shall be given as soon as possible, and if the Bank is satisfied with the reasons and grounds revealed from the hearing so held, such decision may be modified or revoked as necessary. Amended by the Second Amendment. 86chha. May take to resolution: If, while proceeding with action pursuant to Section 86ga. against a problem commercial bank or financial institution, or while adopting corrective measures pursuant to Section 86?a., or while taking remedial actions pursuant to Section 86cha., the Bank is satisfied that such commercial bank or financial institution is unable to fulfill its obligations or has reached a state where it cannot be operated properly, the Bank may decide to take such commercial bank or financial institution into the resolution process pursuant to Chapter 9A. Added by the First Amendment. 86ja.

May reduce capital of a problem commercial bank or financial institution: (1) Notwithstanding anything contained in the Companies Act or other prevailing laws or in the Memorandum and Articles of Association of a problem commercial bank or financial institution, after the Bank has taken control of a problem commercial bank or financial institution pursuant to clause (?a) of sub-section (1) of Section 86ga., if it appears that the

paid-up capital of such commercial bank or financial institution has been eroded, or the amount to be paid by shareholders has not been paid, or the liabilities of such commercial bank or financial institution are not covered by its assets, the Bank may reduce the share capital by canceling the portion of capital that has been eroded or is not covered by the assets. Provided that, before reducing the share capital, the Bank shall publish a notice thereof in a national daily newspaper at least twice. (2) Removed by the Second Amendment. (3) While publishing a notice pursuant to sub-section (1), in the case of shareholders who have not paid the paid-up value of shares, the Bank shall give a period of thirty days to pay such amount. While issuing such notice, the Bank may proceed with the process of canceling the shares of shareholders who do not pay the demanded amount, and in the case of shares of a commercial bank or financial institution that is under liquidation or resolution or winding up, the Bank may Added by the Second Amendment. fix a minimum value for such share capital. (4) If the Bank reduces the share capital of a problem commercial bank or financial institution pursuant to sub-section (1) or cancels shares pursuant to sub-section (3), the Memorandum and Articles of Association of such commercial bank or financial institution shall be deemed to have been amended automatically accordingly. Added by the First Amendment. 86jha. Right to appeal against the Bank's order: (1) If any person is dissatisfied with any act, order, decision or action taken by the Bank or an officer appointed by the Bank pursuant to Sections 86ga., 86gha., 86?a., 86cha., and 86ja., only the representative of the shareholders of such commercial bank or financial institution shall have the right to appeal to the Committee within fifteen days of such act, order, decision or action.

Explanation: For the purposes of this section, "representative of shareholders" shall mean a person elected by the shareholders from among themselves representing at least twenty-five percent of the then paid-up capital.

(2) An appeal filed without representing at least twenty-five percent of the then paid-up capital within the period pursuant to sub-section (1) shall not be heard.

(3) If an appeal is filed before the Bank pursuant to sub-section (1), the Committee may, within thirty days from the date of receipt of such appeal, stating the relevant evidence, grounds and reasons, uphold, review or cancel the act, order, decision or action of the Bank or the officer appointed by the Bank.

(4) The Committee shall give notice of the decision made pursuant to sub-section (3) to the concerned representative of shareholders within fifteen days.

(5) Except insofar as the Committee cancels the act, order, decision or action of the Bank or the officer appointed by the Bank pursuant to sub-section (3), such acts and actions shall remain valid.

(6) The decision of the Committee pursuant to sub-section (3) on the appeal of the representative of shareholders shall be final. Repealed by the Second Amendment. 86ja. Repealed by the Second Amendment. 86?a. Repealed by the Second Amendment. 86?ha. Repealed by the Second Amendment. 86?a. Repealed by the Second Amendment. 86?ha. 87. Establishment of information network: The Bank shall establish and operate an information network as prescribed for the promotion of the banking and financial system, Removed by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066

88.

Establishment of credit information center: (1) The Bank may establish or cause to establish a credit information center for the following purposes:- (a) To obtain information on credit extended by banks and financial institutions or cooperative institutions registered under the prevailing law relating to cooperatives, Amended by the Act to Amend Some Nepal Acts relating to Cooperatives, 2081. for maintaining accuracy

and appropriateness in credit flow, (b) To exchange among banks and financial institutions or cooperative institutions registered under the prevailing law relating to cooperatives, Amended by the Act to Amend Some Nepal Acts relating to Cooperatives, 2081. the information obtained pursuant to clause (a) for the purpose mentioned in that clause, (c) To ensure mandatory submission to the center of the list of borrowers who do not repay loans on time or misuse loans, (d) To compulsorily obtain information from the center before making investments or granting loans exceeding the limit prescribed by the Bank, (e) For the center to verify the list obtained pursuant to clause (c), place it on a blacklist and take necessary action in that regard, and (f) To inspect, supervise and monitor whether each bank and financial institution or cooperative institution registered under the prevailing law relating to cooperatives Amended by the Act to Amend Some Nepal Acts relating to Cooperatives, 2081. has exchanged such information or not and whether loans are invested in accordance with such information or not, and submit a report to the Bank. (2) The Bank shall regulate and systematize the activities mentioned in sub-section (1) as prescribed. Chapter 9A Provisions Relating to Resolution Added by the Second Amendment. 88ka.

The Bank's right to carry out resolution: (1) The Bank may take control of a commercial bank or financial institution and proceed with resolution in any of the following circumstances:- (a) If it is unable to pay its liabilities in full or in part, (b) If, based on a supervisory analysis, it is in a position where it cannot fulfill liabilities due within ninety days from the date of completion of such analysis, (c) If liabilities exceed net assets, (d) If it incurs losses to such an extent that even all types of capital and funds prescribed by the Bank cannot cover them, (e) If the Bank decides to take it into the resolution process pursuant to Section 86chha. (2) Only the Bank shall have the right to resolve claims of depositors and secured creditors against a commercial bank or financial institution. (3) All expenses incurred in carrying out the resolution of a commercial bank or financial institution shall be borne from the proceeds obtained by selling the assets of the concerned bank or financial institution. 88kha. Provision relating to formation of a Special Administration Group: (1) If a decision is made to proceed with the resolution of a commercial bank or financial institution pursuant to Section 88ka., the Bank shall, for that purpose, form a Special Administration Group consisting of up to three persons from among those possessing the qualifications prescribed, and through it, take control of the concerned commercial bank or financial institution and proceed with the resolution. (2) If the work of all or any member of the Special Administration Group is not satisfactory, the Bank may remove such member as prescribed. (3) Before removal pursuant to sub-section (2), a reasonable period and opportunity of hearing shall be given to such person. (4) If a member of the Special Administration Group is removed before the completion of the resolution work, a person possessing the prescribed qualifications may be appointed for the remaining period in his/her place. (5) The remuneration of members of the Special Administration Group shall be as prescribed, linked to the performance of work. 88ga.

Work, duties and rights of the Special Administration Group: (1) The Special Administration Group shall have all the powers exercisable by the general meeting, board of directors, chief executive officer and other officers of the concerned commercial bank or financial institution. (2) Subject to sub-section (1), the Special Administration Group shall have the following powers with respect to managing the movable and immovable property of the concerned commercial bank or financial institution, resolving any assets and liabilities, and operating such commercial bank or financial institution:- (a) To sell all or part of the unsold shares of the commercial bank or financial institution to new persons, (b) To entrust any other institution with conducting any operations or performing specific functions that can be regularly conducted from a systemic perspective, or to establish a separate bridge institution or unit for a limited period to conduct such functions, (c) To sell any or all operations or assets of the concerned commercial bank or financial institution or any subsidiary company thereof, (d) To sell assets or rights of the concerned commercial bank or financial institution held in

any other person or entity. (3) The Special Administration Group shall also have the following other powers in relation to the commercial bank or financial institution under resolution:- (a) To require the relevant person to submit documents deemed necessary by the Special Administration Group to proceed with resolution work, (b) To transfer or cause to transfer the ownership of shares or other instruments issued by the concerned commercial bank or financial institution, (c) To transfer certain rights, assets or liabilities of the concerned commercial bank or financial institution to another person, (d) To cancel shares or other instruments issued by the concerned commercial bank or financial institution, (e) To transfer shares or other ownership instruments issued by the concerned commercial bank or financial institution or held by any or all of its shareholders to the name of another person on a prescribed basis, (f) To issue preference shares or other capital instruments, (g) To take all steps deemed necessary for the protection and care of the assets of the concerned commercial bank or financial institution. (4) While carrying out resolution work of a commercial bank or financial institution pursuant to this section, the Special Administration Group shall not be required to do the following:- (a) Obtain prior consent of any persons in the public or private sector, including shareholders, depositors or creditors of the commercial bank or financial institution under resolution, (b) Notify any person, firm, company or entity, except as otherwise provided in this Chapter. (5) The Special Administration Group shall complete the resolution work pursuant to this Act within one year of its commencement.

Provided that, if any work related to the resolution being carried out by the Special Administration Group cannot be completed within the prescribed time, the Bank may extend the term of the Special Administration Group based on necessity and justification.

(6) The Special Administration Group may also perform any or all of the following acts on behalf of the concerned commercial bank or financial institution:-

- (a) Continue operations other than collecting deposits and granting any loans,
- (b) Suspend or cease any operations being carried out by the commercial bank or financial institution,
- (c) Borrow loans with or without pledging the assets of the commercial bank or financial institution,
- (d) Stop payment of liabilities of the commercial bank or financial institution or set limits therefor,
- (e) Appoint or dismiss officers, employees or professional advisors necessary for the commercial bank or financial institution,
- (f) Convene meetings of depositors and creditors for discussion and decision on matters deemed necessary by the Special Administration Group,
- (g) Make legal defenses in the name of the commercial bank or financial institution, or
- (h) Perform or cause to perform other necessary work related to resolution.

(7) The Special Administration Group shall have full right of access and control over the offices, books of accounts, records, assets and information technology systems of the concerned commercial bank or financial institution and its subsidiary companies.

(8) If the Special Administration Group finds it appropriate to merge all or major assets of the commercial bank or financial institution under its control with any other commercial bank or financial institution, or to acquire assets of another commercial bank or financial institution and merge with it, it shall submit a petition with a proposal to the Bank in accordance with the prevailing law in that matter. Upon receipt of such petition

with a proposal, the Bank shall take a decision to accept or reject such proposal.

(9) Based on the financial position of the commercial bank or financial institution, a statement of the estimated expenses to be incurred in the resolution process and other expenses required under prevailing law shall be prepared, and arrangements shall be made to repay or pay the amount due in respect of matured deposit liabilities, either in a lump sum or in installments, from the funds available for such payment.

While making such payments, depositors and creditors of the same class shall be treated equally.

(10) The procedure for determining the validity of claims submitted by depositors and creditors against the concerned commercial bank or financial institution, payment of claims, determination of liabilities, and return of personal property of the debtor shall be as prescribed.

(11) Notwithstanding anything contained in the prevailing law, when selling assets of a commercial bank or financial institution, the Special Administration Group may, on the basis prescribed, determine a minimum price and sell them by one or more methods such as auction, sealed bid, negotiation, maintaining transparency and a business perspective.

(12) The Special Administration Group shall submit to the Bank, from time to time as prescribed, financial statements of the commercial bank or financial institution, a plan for sale of its assets and its views thereon, an estimate of its liabilities or the method of payment thereof, and a statement including the actual transfer of assets and estimate of liabilities.

(13) If the Special Administration Group deems it necessary to issue new shares of the concerned commercial bank or financial institution, sell assets, consolidate assets for securitization, make arrangements for estimating liabilities, or manage such activities, it may entrust the work to any agency or company established to carry out asset management work under the prevailing law. The rights to sell non-performing loans, assets difficult to value, and liabilities of the concerned commercial bank or financial institution may also be transferred to such agency or company. 88gha. Automatic suspension of powers during resolution:

(1) The powers of the directors, chief executive officer and other officers of a commercial bank or financial institution under resolution shall be automatically suspended for the duration of the resolution.

(2) Notwithstanding anything contained in sub-section (1), the Special Administration Group may revoke the suspension of all or any of the directors, chief executive officer and other officers of the concerned commercial bank or financial institution to perform the tasks specified by it and assign them to resolution work.

(3) Any person who fails to comply with the directive given to be assigned to work pursuant to sub-section (2) may be dismissed by the Special Administration Group at any time.

(4) A person dismissed pursuant to sub-section (3) shall not receive any remuneration or benefit from such bank or financial institution. 88?a.

Notice and registration of resolution work: (1) Within two days of commencing the resolution work, the Special Administration Group shall give notice with the following details to each office of the concerned commercial bank or financial institution:- (a) The date and time of taking control of and starting work on the concerned commercial bank or financial institution, (b) The fact that the authority and responsibility of the previous authorized persons to conduct financial transactions or manage or give directions regarding the same have been revoked, (c) The manner, time and place for depositors to submit their claims with the concerned commercial bank or financial institution, (d) The manner, time and place for depositors to receive back their

insured and secured deposits, (e) The manner, time and place for secured creditors to submit claims receivable from the commercial bank or financial institution. (2) The notice with details pursuant to sub-section (1) shall be published publicly so that the concerned parties of the commercial bank or financial institution can obtain information. Such notice shall also be published in a national daily newspaper every week for four weeks. (3) The Special Administration Group shall send information regarding the fact that the concerned commercial bank or financial institution has been placed under resolution and the changes in the authorized officers and their authority to the Bank, the Office of the Company Registrar, the concerned stock exchange, the institution established for deposit insurance and security under prevailing law, and other concerned bodies, for record. 88cha. New balance sheet to be prepared: (1) The Special Administration Group shall prepare a new balance sheet showing the actual financial position of the commercial bank or financial institution placed under resolution pursuant to Section 88ka. on the following basis:- (a) On the basis of the net realizable value of assets, (b) By also adjusting the value of liabilities to be distributed on the basis of priority pursuant to Section 88jha. (2) When preparing a new balance sheet pursuant to sub-section (1), the method of determining liabilities shall be as prescribed. (3) The balance sheet prepared pursuant to sub-section (1) and detailed details thereof shall be submitted to the Bank as prescribed. 88chha.

May recommend for improvement of financial position of commercial bank or financial institution: (1) If, upon completion of the resolution process initiated in respect of a commercial bank or financial institution under this Chapter, it appears that overall financial stability or the system may be negatively affected, the Special Administration Group shall prepare a report stating the same, including that situation and the steps to be taken in the future, and submit it to the Bank. (2) After receipt of the report pursuant to sub-section (1), if it appears that resolving such commercial bank or financial institution would negatively affect overall financial stability or the system, and if it appears that the financial position could improve if the Government of Nepal makes an investment in such commercial bank or financial institution, the Bank shall, together with its opinion, recommend the same to the Government of Nepal. (3) If the Government of Nepal, upon the Bank's recommendation pursuant to sub-section (2), invests in a commercial bank or financial institution and its financial position improves, the Government of Nepal shall, within a maximum of five years from the date of improvement, sell its invested amount to the private sector through a bidding process and recover it. 88ja. Bridge institution or unit may be established: (1) If it appears appropriate to establish a bridge institution or unit pursuant to clause (kha) of sub-section (2) of Section 88ga. or otherwise to conduct resolution work, the Special Administration Group may request the Bank.

If such request is reasonable, the Bank may establish such bridge institution or unit or permit resolution work to be conducted. (2) The institution or unit established pursuant to sub-section (1) shall be deemed to include the rights, liabilities, assets of the concerned commercial bank or financial institution, and any membership in payment, clearing or settlement systems obtained by such institution. (3) Shareholders, creditors or any other persons of the commercial institution or unit established pursuant to sub-section (1) shall have no right of any kind over the assets or rights of the concerned commercial bank or financial institution. (4) The work, duties and rights of the bridge institution or unit, and the remuneration and facilities to be received by the officers of such institution or unit, shall be as prescribed by the Bank. (5) For the purpose of transferring assets and liabilities of the concerned commercial bank or financial institution to the bridge institution or unit or any other institution, none of the following shall be required:- (a) To obtain consent of creditors or any related party, (b) To complete the procedure prescribed by the prevailing company and securities laws, or (c) To complete the procedure stipulated in any contract to which the concerned commercial bank or financial institution is a party. 88jha.

Priority of payment: (1) The amount received from the sale of assets of the concerned commercial bank or financial institution under resolution shall be used for payment to depositors, creditors, and other persons deemed by the Special Administration Group to be entitled to payment, and setting aside funds, on the basis of the following priority:- (a) Expenses incurred by the Bank and the Special Administration Group for the implementation of the provisions of this Act, expenses for employee remuneration and facilities, fees of professional practitioners engaged in that regard, and other related expenses, including necessary expenses incurred in the resolution process, (b) The amount up to the limit of the total approved claim amount of depositors, as per deposit insurance security under prevailing law, or if the deposit insurance security institution established by law has paid the depositor such amount, an amount equal thereto, (c) Deposits remaining after payment pursuant to clause (kha), (d) Approved claims of persons recognized as secured creditors by law. (2) While making payment in the order mentioned in sub-section (1), if the amount is insufficient to pay the approved claim amount of any class, the amount shall be distributed proportionally among the claimants of the same class. (3) When paying claims to depositors or secured creditors, payment shall be made equally without discrimination on any basis such as nationality, place of residence or jurisdiction. (4) The approved claims of secured creditors who submit their claims in time shall be paid with first priority to the extent covered by the proceeds from the sale of the assets under security. The claim not covered by such security shall rank equally with the claims of other creditors. (5) For the purpose of bearing the liability regarding financial compensation that may arise pursuant to sub-section (4) of Section 88?ha., the Special Administration Group shall open a separate account and deposit two percent of the amount received from the sale of assets of such concerned commercial bank or financial institution. (6) After making payment to depositors and secured creditors and setting aside funds under sub-section (5), the remaining amount shall be distributed proportionally by the liquidator appointed pursuant to sub-section (3) of Section 88?a., on the basis of priority prescribed under prevailing law, to the persons liable to pay taxes, duties, fees under prevailing law, other creditors or approved claimants of such commercial bank or financial institution, and shareholders or persons who have acquired ownership in any other manner. 88ña.

Effect after Special Administration Group takes control of bank or financial institution: (1) After the Special Administration Group takes control of a commercial bank or financial institution, any claim of depositors and creditors of such institution who are not entitled to receive payment under Section 88jha., and any action to establish a right over the assets of such institution in respect of any debt, shall be automatically stayed. (2) Notwithstanding anything contained in sub-section (1), transactions with persons involved in clearing, payment and settlement systems, work related to asset transfer, and matters not related to the resolution process shall not be deemed to be stayed. (3) For the purpose of taking a commercial bank or financial institution into the resolution process, unless a liability or security right over such commercial bank or financial institution was created six months prior to the formation of the Special Administration Group, no right over any asset, liability or security of such commercial bank or financial institution shall be deemed to have been created. (4) Notwithstanding anything contained in sub-section (3), any type of liability or security created by the Special Administration Group over the assets of the commercial bank or financial institution under resolution shall not be deemed to have been obstructed. (5) After the formation of the Special Administration Group, all rights of the shareholders or persons having any other type of ownership of the concerned commercial bank or financial institution shall be automatically suspended until the completion of the resolution process. (6) In the case of a commercial bank or financial institution under resolution after the formation of the Special Administration Group, the provisions contained in the prevailing law relating to securities shall not apply. 88?a.

Actions prior to initiation of resolution proceedings become void: (1) The Special Administration Group may

void transactions or transfers related to third parties that affect the assets of a commercial bank or financial institution in the following circumstances:- (a) Transactions or agreements made prior to the start of the resolution process that are contrary to the interests of depositors or creditors of the concerned commercial bank or financial institution, (b) Any transfers made by the commercial bank or financial institution without consideration to any shareholder, director, officer or their relatives up to five years before the date of commencement of the resolution process, (c) Any transfers made by the commercial bank or financial institution without consideration to any third party up to three years before the date of commencement of the resolution process, (d) Transactions completed by the commercial bank or financial institution up to three years before the date of commencement of the resolution process in a manner that results in comparatively lower returns for the institution or higher returns for the other party, (e) Any act done up to five years before the date of commencement of the resolution process that is contrary to the interests or detrimental to the rights of the depositors of the commercial bank or financial institution, (f) Transfer of property in the name of any person for the purpose of benefiting such person from the loan payable by the concerned commercial bank or financial institution up to six months before the date of commencement of the resolution process, or for the purpose of increasing the amount receivable by a creditor in the winding up process. Provided that the provision of this clause shall not apply to payments made against deposits not exceeding the amount covered by deposit insurance and security per deposit. (2) The Special Administration Group may void transactions made with directors, officers or their close relatives of the commercial bank or financial institution up to one year before the date of commencement of the resolution process that are contrary to the interests of the depositors and creditors of the institution, or recover the amount thereof from them. (3) Notwithstanding anything contained in sub-section (1) and (2), the Special Administration Group shall not void transactions made by the concerned commercial bank or financial institution in the ordinary course of its business, or where adequate and sufficient consideration has been exchanged, or transactions that had not been paid for prior to the institution entering resolution. (4) A person who receives property from transactions or transfers voided pursuant to sub-sections (1) and (2) shall immediately return such property.

If such property is not in the possession of the person who received it, an amount equal to the value of such property shall be deposited with the concerned commercial bank or financial institution. In the case of a person who entered into such transaction with mala fide intention and, after the transaction is voided, does not immediately return the property or its equivalent value to the concerned commercial bank or financial institution, the claim against such person shall rank as that of a secured creditor.

(5) The Special Administration Group may, while conducting the resolution process, write to the concerned body to transfer any type of movable or immovable property or right. Upon such writing by the Special Administration Group, the concerned body shall enter, cancel or transfer such movable or immovable property or right in the name of the concerned commercial bank or financial institution.

(6) The Special Administration Group may, while conducting the resolution process, write to the concerned body to transfer any type of movable or immovable property or right. Upon such writing by the Special Administration Group, the concerned body shall enter, cancel or transfer such movable or immovable property or right in the name of the concerned commercial bank or financial institution.

(7) Where a Special Administration Group has been formed for the resolution of a commercial bank or financial institution and the process is ongoing, no person shall stop or cause to stop goods and services such as electricity, water, telephone, land, vehicles or other items and services provided prior to that solely on the ground that the amount for such items and services has not been received. In respect of payment for goods and services so received, the Special Administration Group shall pay the outstanding amount existing

before entering the resolution process to the concerned service provider. 88?ha. Other provisions relating to resolution: (1) Notwithstanding anything contained in the prevailing law, matters relating to a commercial bank or financial institution under resolution shall be governed by this Act.

(2) No person shall cause any obstruction, interference, disturbance or intervention in the right of access and control of the Special Administration Group. If any person does or causes to do such act, the Special Administration Group may request the concerned administration or police for necessary assistance.

Upon such request, the concerned body shall provide necessary security and assist in establishing the access and control of the Special Administration Group over the offices, assets, records, books of accounts and information technology systems of such commercial bank or financial institution. (3) A party aggrieved by the work or action done by the Special Administration Group or the Bank under this Chapter may, for compensation, file a petition with the court within sixty days from the date the Special Administration Group submitted a report to the Bank or, if the Special Administration Group is dissolved for any reason, from the date of dissolution. (4) The court may award reasonable financial compensation to the aggrieved party in the following circumstances:- (a) If any act or action has been done exceeding the jurisdiction during the resolution, (b) If the resolution process under this Act has not been completed, (c) If the resolution action was taken without sufficient grounds and reasons. (5) The Special Administration Group, while exercising its powers under this Act, shall do so in a transparent and fair manner, having regard to the interests of the concerned depositors and other claimants. (6) The remuneration and facilities to be received by a person representing or assisting the Bank or the Special Administration Group in the course of the resolution process shall be as determined by the Bank. (7) No depositor, shareholder or creditor shall bring any kind of lawsuit or proceeding against any act done by the directors and officers of the concerned commercial bank or financial institution in the course of implementing the decision of the Bank or the Special Administration Group to facilitate the resolution process. (8) Notwithstanding anything contained in the prevailing law, the Bank may obtain from any government or private person, firm, company or entity any information and details relating to the resolution process of a commercial bank or financial institution. If the Bank so orders, the main managerial information, location of technology, and details including the sensitive and core functions performed by such commercial bank or financial institution shall be submitted to the Bank. It shall be the duty of the concerned person, firm, company or entity to provide any information requested by the Bank. 88?a.

Final statement of resolution work to be submitted: (1) After completing the resolution work, or after the term of such group expires, or within fifteen days of the dissolution of such group for any reason, the Special Administration Group shall prepare a statement of the work and actions completed by it and the details of income and expenditure of the concerned commercial bank or financial institution, details of sources and uses of financial transactions, along with details of remaining assets and liabilities, have it examined, and submit a report including the same to the Bank. Such report shall also include necessary suggestions regarding the steps to be taken by the Bank in the future in respect of such institution. (2) After receiving the report pursuant to sub-section (1), the Bank shall, considering the suggestions mentioned in the report, take necessary decision on whether to make arrangements for the operation of such commercial bank or financial institution pursuant to Section 88chha. or to file a petition in court for winding up pursuant to Section 88?a. 88?ha. Exchange of mutual assistance: (1) The Special Administration Group may, with the prior approval of the Bank, request assistance from the concerned body of a foreign country as necessary in the course of proceeding with the resolution of a commercial bank or financial institution. (2) The Special Administration Group may, with the prior approval of the Bank, proceed with necessary actions to assist on a reciprocal basis the proceedings being carried out in another country in relation to the resolution of a commercial bank

or financial institution, or to recognize the work being done by the competent authority of another country.

When providing such assistance or recognizing such work, claimants shall be treated equally.

(3) Except in cases where confidentiality must be maintained and sensitive data must be protected, the Special Administration Group may, with the prior approval of the Bank, exchange information with the concerned agency of a foreign country regarding debt recovery, resolution plan, etc., of the commercial bank or financial institution under resolution.

(4) In relation to the resolution of a commercial bank or financial institution established in Nepal and having branches or offices abroad, or a commercial bank or financial institution established in a foreign country and having branches or offices in Nepal, the Bank and the institution providing deposit insurance security may also coordinate and exchange mutual assistance.

(5) The Bank and the institution providing deposit insurance security may exchange information or assistance regarding any event or problem affecting the commercial bank or financial institution under resolution, by mutual agreement with the concerned bodies of foreign countries regarding the resolution and its plan being carried out by them, upon their request for such information or assistance.

(6) Where any assistance from or coordination with the central bank, commercial bank or financial institution, or deposit insurance security institution of a foreign country is required on a reciprocal basis under this section, and if such assistance and coordination require government-level involvement, the Bank shall recommend to the Government of Nepal to make necessary arrangements in that regard. 88?a. May file petition for winding up: (1) If the resolution process initiated by the Bank in respect of a commercial bank or financial institution is completed, or if for any other reason, before such process

(4) A person who attempts to commit an offense under Section 95, or a person indirectly involved in committing such an offense, or a person who abets the commission of such an offense, or an officer of the concerned firm, company or institution who abets the commission of the offense, shall be liable to a punishment of up to half of the punishment prescribed for the principal accused. 97. Government of Nepal to be the plaintiff: A case relating to an offense referred to in Section 95 shall be filed with the Government of Nepal as the plaintiff, and such case shall be deemed to be included in Schedule-1 of the Muluki Criminal Procedure Code, 2074, as amended by the Act to Amend Some Nepal Acts Relating to the Muluki Code, 2075, which was transformed by the Act to Amend, Consolidate, Adjust and Repeal Some Nepal Laws, 2074. 98.

100. Punishment for violation of Bank's rules: (1) If any commercial bank or financial institution licensed by the Bank violates this Act or any rule or regulation made under this Act, or any order or direction issued by the Bank thereunder, the Bank may impose one or more of the following punishments on such commercial bank or financial institution:-

- (a) To give a caution or written warning.
- (b) To require the board of directors to submit a bond for taking corrective measures.
- (c) To issue a written order to stop repeated violations, to refrain therefrom, and to take corrective measures.
- (d) To suspend or terminate services provided by the Bank.
- (e) To prohibit the distribution of dividends by the commercial bank or financial institution to its shareholders.
- (f) To impose restrictions on deposits that may be accepted or loans that may be granted by the commercial bank or financial institution.
- (g) To impose partial or full restrictions on the transactions of the commercial bank or financial institution.

(h) To suspend or revoke the license of the commercial bank or financial institution.

(2) If a director, officer or employee of a commercial bank or financial institution licensed by the Bank violates this Act or any rule or regulation made under this Act, or any order or direction issued by the Bank thereunder, or if such person acts against the interest of depositors or the general public, or fails to submit documents, details or data requested by the Bank or an inspection and supervision officer in the course of inspection and supervision within the specified time, the Bank may impose the following punishments on such director, officer or employee:-

(a) To give a caution or admonition.

(b) To place under suspension.

(c) To impose a cash fine of up to five hundred thousand rupees.

(d) To order the board of directors of the concerned commercial bank or financial institution to cease providing all facilities including salary and allowances.

(e) To order the board of directors of the concerned commercial bank or financial institution to remove a director from the post of director or to dismiss an officer or employee from service. Added by the Act to Amend Some Acts Relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.100A. Punishment for violation of regulation: If a cooperative institution primarily engaged in savings and credit transactions, having a share capital of more than five hundred million rupees or an annual turnover equivalent to that amount, violates this Act or any order or direction issued by the Bank under the prevailing law, such cooperative institution or its director, officer or employee may be penalized under Section 99 or punished under Section 100.

101. Procedure for financial penalty and punishment: (1) While imposing a financial penalty or punishment under Section 99 and Section 100, the Bank shall adopt the following procedure:

(a) Before imposing the proposed punishment, the Bank shall give a written notice to the accused institution or person, mentioning the following matters and providing a period of fifteen days to submit a defense regarding the proposed penalty or punishment:-

(1) The nature of the offense,

(2) The amount of penalty or the proposed punishment that may be imposed according to the nature of the offense, and

(3) A brief description of the offense.

(b) The accused institution or person under clause (a) shall submit a written reply within fifteen days regarding whether they agree or disagree with the said accusation.

(c) If the Bank is satisfied with the submission of the accused institution or person expressing disagreement with the offense, the Bank may amend, limit or cancel such accusation.

(d) If the accused institution or person agrees with the offense or fails to submit a satisfactory reply, the Bank shall impose such penalty or punishment.

(e) The Bank may issue an order to deduct the penalty imposed under clause (d) from the account maintained by the concerned commercial bank or financial institution with the Bank.

(2) Cash fines received by the Bank pursuant to clause (e) of sub-section (1) shall be deposited in the General Reserve Fund.

(3) Notwithstanding anything contained in sub-section (1), no procedure of any kind shall be required to be followed when imposing punishment under clauses (a), (b), (c) and (d) of sub-section (1) of Section 100 and clauses (a) and (b) of sub-section (2) thereof. 102. Appeal lies: A commercial bank or financial institution, or its director, officer or employee dissatisfied with the punishment imposed by the Bank under Section 99 and

Section 100 may appeal to the High Court, as amended by the Second Amendment. within thirty-five days from the date of receiving the punishment. Chapter-12

Miscellaneous

Repealed by the Payment and Settlement Act, 2075.103. 104. Collection of statistics: (1) The Bank may, on its own or from the Government of Nepal or other bodies, collect statistics required to achieve its objectives and perform its functions. For this purpose, the Bank may also seek cooperation from officials, persons, associations, institutions within or outside Nepal as omitted by the Act to Consolidate the Republic and Amend Some Nepal Laws, 2066. and international associations and institutions.

(2) The Bank may make necessary arrangements to coordinate and refine the system of collection, storage and distribution of statistics related to its sphere of work. 105.

Trust account: The Bank may open and operate a separate account as a trust account for a special purpose. The amount deposited in such account shall not be used for any other purpose. The assets in such account shall be used only to meet the liabilities of such account, and the Bank shall not be entitled to use the amount or assets in other accounts to meet such liabilities. 106. Acts not to be invalidated: No act or proceeding of the Bank or a committee shall be invalidated merely by reason of any irregularity in the appointment of the Governor, Deputy Governor or Director, or the formation of a committee, or by reason of the vacancy in the office of the Governor, Deputy Governor or Director. Added by the Second Amendment.106A. Not to work in commercial banks or financial institutions: (1) A person who has been the Governor shall not work in any capacity in any commercial bank or financial institution. (2) A Deputy Governor and an Executive Director of the Bank shall not work in any capacity in any commercial bank or financial institution for a period of three years from the date of leaving or retiring from their office, and an officer level employee of the Bank shall not work in any capacity in any commercial bank or financial institution for a period of two years from the date of leaving or retiring from their office. Provided that, after the expiry of the period specified in this sub-section, the concerned Deputy Governor, Executive Director or Officer must obtain prior approval of the Bank to work in any capacity in any commercial bank or financial institution. (3) Notwithstanding anything contained in sub-sections (1) and (2), this provision shall not apply to posts appointed by the Government of Nepal. Added by the Second Amendment.106B. To make available services of experts: The Bank shall make available the services of experts it possesses, upon request by the Government of Nepal. Added by the Second Amendment.106C. Government of Nepal may give directions: (1) The Government of Nepal may give directions to the Bank on matters relating to currency, banking and finance. (2) It shall be the duty of the Bank to comply with the directions given under sub-section (1). 107. Not liable for acts done in good faith: (1) The Governor, Deputy Governor, Director or employee of the Bank or Special Administration Group shall not be personally or collectively liable in respect of any act or proceeding done in good faith pursuant to this Act or any rule or regulation made under this Act or any order or direction issued thereunder.

Provided that, they shall be personally responsible in respect of any act done deliberately or with wrongful intention.

(2) If any suit is filed against the Governor, Deputy Governor, Director or any officer or employee of the Bank in respect of any loss or damage caused or likely to be caused by anything done or attempted to be done in good faith for compliance with this Act or any rule or regulation made under this Act or any order or direction issued thereunder, the Bank shall bear the cost of such suit. Provided that, the Bank shall not bear the cost of a suit filed in respect of any act done deliberately or with wrongful intention. Amended by the First Amendment.108. To take oath: (1) Before commencing the work of their office, the Governor and Directors

shall take an oath of office and secrecy in the format as per the Schedule before the Chief Justice of the Supreme Court or a judge designated by him/her, and the Deputy Governor shall take such oath before the Governor.

(2) An employee or advisor appointed for the first time in the Bank shall, before commencing the work of their office, take an oath of office and secrecy as prescribed. 109. To be according to this Act: Notwithstanding anything contained in the prevailing law, matters provided for in this Act shall be according to this Act. 110. Power to make rules and regulations: (1) For the purpose of implementing the objectives of this Act, the Bank may, with the approval of the Government of Nepal, make necessary rules on the following matters:-

- (a) Foreign exchange transactions.
- (b) Exchange of bank notes and coins that are burnt, torn, mutilated, erased or deformed.
- (c) Commercial transactions between the Government of Nepal and the Bank.

Added by the First Amendment.(d) Other matters deemed necessary by the Committee to implement the objectives of this Act.

(2) For the purpose of implementing the objectives of this Act, the Committee may make regulations on the following matters:-

- (a) The place, time and procedure relating to meetings of the Committee.
- (b) Formation of sub-committees as required by the Committee and the procedure of such sub-committees.
- (c) Appointment, promotion, transfer, dismissal, remuneration and facilities, pension, gratuity, provident fund, leave, conduct and discipline and conditions of service of the employees of the Bank.
- (d) Delegation of authority by the Committee to the Governor and by the Governor to the Deputy Governor or other employees of the Bank.
- (e) Conditions relating to leases and bonds made on behalf of the Bank.
- (f) Use of the seal of the Bank.
- (g) Accounts, ledgers, books or other registers, documents and their formats to be maintained by the Bank.
- (h) Internal audit and inspection of the Bank.
- (i) Supervision of commercial banks and financial institutions.
- (j) Details to be submitted by commercial banks and financial institutions.
- (k) Cash balance or cash responsibility of the Bank.
- (l) Conduct of lawsuits or other proceedings on behalf of the Bank.
- (m) Credit control.
- (n) Expenditure management of the Bank. Added by the Second Amendment.(n1) Relating to merger and amalgamation of commercial banks and financial institutions. Added by the Second Amendment.(n2) Relating to prompt corrective action of commercial banks and financial institutions. Added by the Second Amendment.(n3) Relating to credit information. Added by the Second Amendment.(n4) Relating to payment and settlement. Added by the Second Amendment.(n5) Relating to liquidation. Added by the Second Amendment.(n6) Relating to licenses issued by the Bank. Added by the First Amendment.(o) Other matters necessary to implement the objectives of this Act.

(3) Orders, directions, procedures and guidelines required to be issued under this Act, other than the matters referred to in sub-sections (1) and (2), shall be issued by the Governor.

(4) Regulations made under sub-section (2) and orders and directions issued under sub-section (3) shall be forwarded by the Bank to the Government of Nepal for its information.

(5) Regulations made under sub-section (2) or orders or directions issued under sub-section (3) shall be

publicly published and disseminated or caused to be published and disseminated by the Bank. 111. To make and implement directives: The Bank may, subject to this Act or the rules or regulations made under this Act, make and implement necessary directives from time to time for the purpose of implementing the objectives of this Act. 112.

Repeal and saving: (1) The following Acts are hereby repealed:- (a) Nepal Rastra Bank Act, 2012, (b) Currency Act, 2040. (2) All acts and proceedings done under the Acts repealed under sub-section (1) shall be deemed to have been done under this Act. Schedule (Relating to sub-section (1) of Section 108) Amended by the First Amendment.

Oath Form I, , having been appointed to the post of of Nepal Rastra Bank, do sincerely and faithfully swear that I will honestly perform the duties of the said post and will always keep the interest of the Bank in mind. I will not disclose anywhere the transactions of the Bank and matters to be kept confidential. I swear by my faith and conscience that I will not, directly or indirectly, in any manner whatsoever, disclose to anyone any information or knowledge that comes to my knowledge, except as authorized by the Board of Directors in my capacity as or as compelled by law, whether I hold office or not.

Signature of the person taking the oath: Name: Post: Date: Signature of the person administering the oath: Name: Post: Date: Seal: